

EXHIBIT D

Taxes, Regulatory Burden, and Property Marketability

Supplemental policy context concerning preservation investment, ownership costs, and marketability.

Submitted by: David McFadden and Robin McFadden | Public **hearing:** August 20, 2026

1. The Policy Question

Tuxedo Park homeowners bear substantial restoration, maintenance, tax, and assessment costs. Those obligations do not create immunity from reasonable regulation or entitlement to commercial activity. They are supplemental policy considerations when the Board evaluates whether a new restriction is necessary, proportionate, and likely to affect preservation investment or marketability.

2. Village Budget Evidence

Fiscal year	Official budget status	Tax rate per \$1,000	Reported change	Tax levy / property-tax indicator
2024–2025	Adopted budget materials	Approximately \$54.027890	Approximately -0.162%	Official budget baseline
2025–2026	Final adopted budget dated May 19, 2025	\$55.020906	+1.8380%	Real-estate property tax budget: \$3,708,018; levy change reported as +1.0238%
2026–2027	Proposed budget dated April 16, 2026	\$56.518335	+2.9144% proposed	Real-estate property tax proposed: \$3,844,120; levy change reported as +3.8651%

The April 2026 document is labeled “proposed,” not final. It is evidence of the Board’s proposed direction at that date and should not be represented as the adopted 2026–2027 rate unless the final budget confirms it.

Source: [Village of Tuxedo Park — Final Budget, Fiscal Year 2025–2026](#)

Source: [Village of Tuxedo Park — Proposed Budget, Fiscal Year 2026–2027 \(April 16, 2026\)](#)

3. Use of Fund Balance Requires Context

The final 2025–2026 budget identifies \$249,500 as “Appropriated Surplus—General.” The April 2026 proposed budget identifies \$222,134 as “Appropriated Fund Balance.” These entries show that accumulated resources were budgeted to support operations, but they do not by themselves prove fiscal impropriety. The Board should explain the recurring strategy, the remaining unrestricted fund balance, reserve policy, one-time versus recurring expenses, and how reliance on fund balance affects future tax pressure.

4. The McFadden Boathouse Assessment

The 2026 final assessment roll identifies 61 Turtle Point Road, tax parcel 103-1-24, as waterfront property class 312 (“Vac w/imprv”) with a Village taxable assessment of \$72,150 and indicated full-market value of \$716,485. The same roll identifies two other standalone waterfront improved-lot comparators: the Sonne parcel at \$46,655 and the Bruno parcel at \$63,280. The roll does not label these structures as boathouses, so physical comparability and condition must be established independently.

Parcel / location	Roll classification	Village taxable assessment	Indicated full-market value	Caveat
103-1-24 — 61 Turtle Point Road (NYELICK Holdings, LLC)	\$312 — Vac w/imprv, waterfront	\$72,150	\$716,485	Restored McFadden boathouse; separate lot
103-1-26 — Turtle Point Road (Sonne)	\$312 — Vac w/imprv, waterfront	\$46,655	\$463,307	Physical condition and improvements require confirmation
103-1-27.12 —	\$312 — Vac	\$63,280	\$628,401	Reported

West Lake Road (Bruno)	w/imprv, waterfront			deteriorated/partial structure; confirm by inspection and records
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Source: [Village of Tuxedo Park — 2026 Final Assessment Roll](#)

The assessment comparison supports the statement that the McFadden parcel is assessed above the other two identified standalone class-312 waterfront improved lots. It does not establish that every boathouse on the three lakes has been identified, nor does it prove discriminatory without appraisal evidence and a complete comparator analysis.

5. Why Regulatory Burden Can Matter to Buyers

- Property taxes are recurring carrying costs. Higher annual costs can affect affordability, buyer demand, and the price a purchaser is willing to pay.
- Use restrictions can affect the flexibility buyers associate with ownership. The effect of any restriction on value requires market evidence; no present damages conclusion is offered here.
- Historic properties frequently require extraordinary restoration and maintenance. Owners may consider whether the Village rewards stewardship or increases both assessments and restrictions after substantial private investment.
- The cumulative effect matters: Prospective purchasers together evaluate taxes, assessments, maintenance obligations, architectural controls, permitting burdens, and new use restrictions.

6. Modern Buyers Also Evaluate Home-Office and Creative Uses

For executives, entrepreneurs, authors, designers, influencers, and other professionals, the ability to work, speak, record, publish, and present a professional identity from home can be part of a property's usefulness. Tuxedo Park's architecture, landscapes, and lake setting may be among the attributes that attract such buyers.

A vague rule that potentially reaches business interviews, sponsored content, professional portfolios, corporate branding, or other quiet at-home image-making creates uncertainty beyond traditional film production. The Board should evaluate whether that uncertainty could make Village ownership less attractive when comparable historic communities regulate measurable impacts through clear permits and thresholds.

7. The Village's Own Stated Property-Value Objective

Section 100-6.1 of the Village Code states that the Gateway Overlay District is intended, among other purposes, to “stabilize and improve property values” while allowing property owners reasonable use of their property. That policy supports requiring the Board to examine whether a new prohibition is fitted to documented harm and whether a narrower alternative would protect historic character without unnecessarily impairing ownership value or marketability.

Source: [Village Code §100-6.1 — Gateway Overlay District findings and objectives](#)

8. Information the Board Should Develop

- Final adopted 2026–2027 tax rate, levy, appropriated fund balance, and unrestricted fund-balance position;
- Five- to ten-year trend in Village tax rate, tax levy, assessments, appropriated surplus, legal expense, and total spending;
- Residential sales volume, sale-to-list ratios, time on market, price trends, and comparable historic-community performance;
- Broker or appraiser evidence concerning buyer sensitivity to Village taxes, maintenance obligations, and additional use restrictions;
- A reasoned explanation of why existing impact laws and a tailored permit system are insufficient; and
- An assessment of whether the proposed law will narrow the buyer pool or impair adaptive, cultural, editorial, or economically productive use of historic properties.

9. Cumulative Effect on Property Ownership and Marketability

Tuxedo Park homeowners carry significant taxes, maintenance costs, and regulatory obligations. A new use restriction may add to that cumulative burden, but the extent of any effect on marketability or value is not presently established. The Board should consider the issue as one policy factor while focusing primarily on the documented harm, fit and availability of narrower impact controls.

Tuxedo Park has historically accommodated established institutional, recreational, and multifamily uses, but their precise legal status may differ materially from a private photography session. They are cited as evidence that careful classification is possible, not as proof of a legal entitlement or unequal treatment.

This exhibit presents budget, assessment, and policy evidence; it is not an appraisal or a conclusion that the proposed law has already caused a measurable loss. Market-

value damages, if asserted in litigation, would require qualified appraisal and economic evidence.

10. Proportional Property-Rights Analysis

Private-property rights are not absolute, and ownership does not create an unrestricted entitlement to compensated activity. The relevant policy inquiry is proportionality: whether a new rule addresses a legitimate concern through definitions and standards fitted to actual impacts, and whether a low-impact safe harbor or permit can protect neighbors with less unnecessary burden.

The Board's public-welfare analysis should weigh both sides of the ledger. It should identify the concrete harm avoided, quantify any municipal burden, examine the effectiveness of existing laws, and compare the proposed restriction with its effects on preservation; investment, marketability, and the flexibility buyers associate with ownership. A conclusion supported only by the word "rental" does not perform that analysis.

11. Evidence Required to Establish Measurable Value Loss

This exhibit supports a policy concern, not a present damages calculation. A claim that the proposed law has reduced the property's market value would require the final enacted text, a definitive governmental position, qualified appraisal evidence, comparable sales, income analysis where appropriate and evidence of buyer reaction. At present, the evidence supports the narrower conclusion that taxes and regulatory restrictions can cumulatively affect attractiveness and marketability and should be studied before adoption.